Thornbury Accounting Advisory
Transaction services and accounting

Murray Grains Pty Ltd
Financial Due Diligence

Summary of audited FY2025 financial statements and review of credit relevant matters

Prepared for Quillwood Credit Partners
Version 1.0 Final, 26 September 2025
Strictly private and confidential
Reference: TAA-FDD-2025-0926-MGP
Date: 26 September 2025

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Borrower	Murray Grains Pty Ltd
ABN	59 263 087 938
Registered office	14 Bookpurnong Road, Loxton SA 5333
Ultimate parent	Mallee Agri Holdings Pty Ltd (Tilbrook family and associated entities)
Period covered	Years ended 30 June 2023, 2024 and 2025
Statutory auditor	Halvorsen Brandt Chartered Accountants
Proposed facility	A$29.0M seasonal working capital and capex facility, 24 months
Report date	26 September 2025
Version	1.0 Final
Prepared by	Thornbury Accounting Advisory
Prepared for	Quillwood Credit Partners

Report details

1. Executive summary

Quillwood Credit Partners has asked Thornbury Accounting Advisory to summarise the audited financial statements of Murray Grains Pty Ltd (the Borrower) for the year ended 30 June 2025 and to comment on matters relevant to the proposed A$29.0M facility. The facility comprises a A$20.0M revolving working capital tranche (Tranche A) and a A$9.0M term capex tranche (Tranche B) over 24 months. This report is a financial due diligence summary. It is not an audit or review and does not express an assurance opinion.

The Borrower owns and operates six grain receival, storage and outload sites in the South Australian Riverland and Mallee, with total storage capacity of 640,000 tonnes. It received approximately 1.15 million tonnes in FY2025. Our principal findings are set out below.

- Revenue for FY2025 was A$118.4M, of which A$61.2M (51.7%) was storage and handling fees and A$57.2M was grain trading. EBITDA was A$14.2M, a margin of 12.0%.
- Interest expense was A$2.4M, giving interest cover of 5.9x. Net debt at 30 June 2025 was A$22.8M, or 1.6x EBITDA. Net debt fell by A$0.5M during the year after capex of A$6.3M and dividends of A$2.0M.
- Earnings are seasonal and balance sheet leverage at 30 June is not representative of the peak. Management forecasts peak net debt of about A$34.1M in the March 2026 quarter, equal to 2.4x FY2025 EBITDA, against a proposed 3.0x leverage covenant.
- Headroom at the peak is real but thin. EBITDA would need to fall by about 20% (to A$11.4M) for peak leverage to reach 3.0x. FY2024 EBITDA of A$10.9M, achieved in a low receival year, would imply peak leverage of about 3.1x on the same debt profile.
- Freehold land and improvements at all six sites were valued at A$68.5M (as is) by Corrigan Whitlock Valuers Pty Ltd on 22 August 2025. The A$29.0M limit represents a loan to value ratio of 42.3%.
- We have not identified matters in the audited statements that, in our view, undermine reliance on reported earnings. Open items are listed in section 11, chiefly the treatment of existing borrowings on refinancing and the September 2025 quarter management accounts.

2. Scope, basis of preparation and reliance

We were provided with the signed FY2025 audited financial statements of the Borrower, prepared by management and audited by Halvorsen Brandt Chartered Accountants, who issued an unmodified audit opinion. We were also provided with FY2023 and FY2024 audited comparatives, the Information Memorandum dated 4 August 2025 prepared with Banksia Corporate Advisory Pty Ltd, the valuation report dated 22 August 2025, the quantity surveyor's report of Aldous Pryce Quantity Surveyors Pty Ltd dated 5 September 2025, and a management cash flow forecast for the 2025/26 season.

Our procedures comprised reading the financial statements and notes, recalculating key ratios, agreeing summary figures to the audited statements, analytical review of year on year movements, and enquiries of Sandra Kowalczyk (Finance Director and Chief Financial Officer). We did not re-perform the audit, test underlying transactions or inspect the sites. Forecast information has been read for reasonableness only and we express no view on its achievability.

All figures are in Australian dollars and, unless stated, are in millions. The financial year ends on 30 June. Totals may not sum exactly due to rounding. Management accounts for the September 2025 quarter are due on 17 October 2025 and were not available to us.

3. Business and ownership

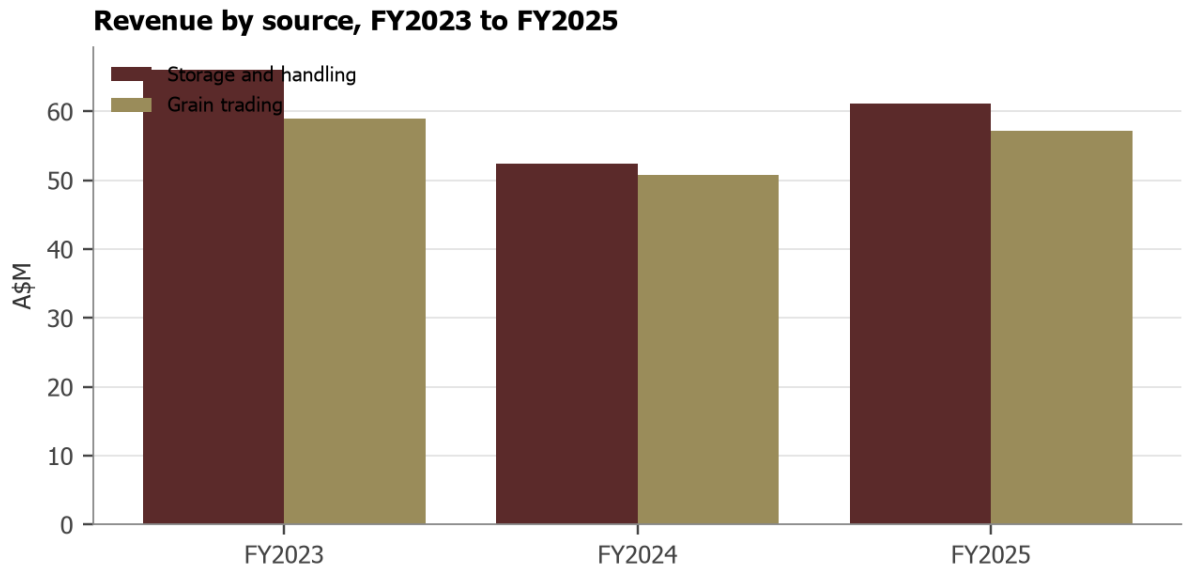
The Tilbrook family opened a single 20,000 tonne receival site at Loxton in March 1987. The Borrower acquired the Pinnaroo and Lameroo sites from a retiring cooperative in July 2006, the Waikerie and Barmera sites in February 2014, and commissioned the Karoonda site, including a rail loading siding, in November 2019. Mallee Agri Holdings Pty Ltd was established in September 2023 as ultimate parent following a family shareholding restructure.

Revenue is earned from receival, storage, outturn and blending fees charged to growers and traders, together with a smaller trading book in wheat, barley, canola and pulses. Receivals concentrate between November and January, and working capital peaks in the March quarter as grain is held for sale. The group employs 86 full time equivalent staff. The Board comprises Graham Tilbrook (Managing Director and founding shareholder), Sandra Kowalczyk (Finance Director and Chief Financial Officer) and Ian Rowntree (Independent Non-Executive Chair).

4. Income statement

A$M	FY2023	FY2024	FY2025
Storage and handling revenue	66.0	52.4	61.2
Grain trading revenue	58.9	50.8	57.2
Total revenue	124.9	103.2	118.4
Cost of grain sold	(54.8)	(48.0)	(53.6)
Operating expenses	(55.0)	(44.3)	(50.6)
EBITDA	15.1	10.9	14.2
Depreciation and amortisation	(4.6)	(4.9)	(5.1)
EBIT	10.5	6.0	9.1
Interest expense	(2.0)	(2.5)	(2.4)
Profit before tax	8.5	3.5	6.7
Income tax expense	(2.6)	(1.1)	(2.0)
Net profit after tax	5.9	2.4	4.7
EBITDA margin	12.1%	10.6%	12.0%
Receivals (million tonnes)	1.28	0.97	1.15

Summary income statement, years ended 30 June (audited)



Storage and handling revenue tracks receival volumes; trading revenue is less volatile.

4.1 Commentary

Storage and handling revenue is the core earnings driver and moves with receival volumes. Receivals fell to 0.97 million tonnes in FY2024 and recovered to 1.15 million tonnes in FY2025, lifting storage and handling revenue by A$8.8M. Revenue per tonne received was approximately A$53 in FY2025, in line with prior years, which indicates that the movement was volume driven rather than price driven.

Grain trading revenue of A$57.2M generated a gross trading margin of A$3.6M (6.3%) after the cost of grain sold of A$53.6M. Trading is therefore a modest contributor to EBITDA, but it is the main driver of inventory and of peak borrowing. Operating expenses of A$50.6M include freight, rail and logistics, employee costs for the 86 FTE workforce, site operating and maintenance costs (power, repairs and fumigation), and administration. A substantial portion of these costs is variable with volume, which explains the A$6.3M increase from FY2024.

FY2025 EBITDA of A$14.2M reconciles to a margin of 12.0%, close to the FY2023 margin of 12.1% achieved on a larger volume of 1.28 million tonnes. Depreciation of A$5.1M reflects the freehold silos, sheds and plant, and the effective tax rate was 29.9%.

5. Balance sheet

A$M at 30 June 2025	Amount	Comment
Cash	3.9	Seasonal low
Trade and other receivables	9.6	Grower and trader fees
Inventories (grain)	6.8	Trading book at trough
Other current assets	1.3	Prepayments
Total current assets	21.6	
Property, plant and equipment	52.7	Cost less depreciation
Right-of-use and deferred tax assets	1.9	ROU 1.4; DTA 0.5
Total assets	76.2	
Trade and other payables	12.4	Includes grower payables
Borrowings (current)	4.5	Term amortisation
Lease liabilities (current)	0.4	
Provisions and current tax	2.2	Provisions 1.6; tax 0.6
Total current liabilities	19.5	
Borrowings (non-current)	20.8	
Lease, deferred tax and other	5.4	Leases 1.0; DTL 3.9; provisions 0.5
Total liabilities	45.7	
Net assets	**30.5**	**Contributed 8.0; retained 22.5**

Summary balance sheet as at 30 June 2025 (audited)

5.1 Commentary

The balance sheet is captured at the seasonal low point for inventory and borrowings, after the March quarter peak has unwound. Current assets of A$21.6M cover current liabilities of A$19.5M by 1.1x. Net assets are A$30.5M, and tangible net worth after excluding the deferred tax asset is A$30.0M.

Property, plant and equipment is carried at A$52.7M on a cost basis, compared with the independent market value of A$68.5M for the freehold sites. The two figures are not strictly comparable, as the valuation addresses land, buildings and fixed improvements while the book figure includes plant and equipment, but the difference is consistent with the age of the Loxton, Pinnaroo and Lameroo assets.

Net debt of A$22.8M comprises borrowings of A$25.3M (current A$4.5M, non-current A$20.8M) and lease liabilities of A$1.4M, less cash of A$3.9M. Management's net debt definition includes lease liabilities, and we have adopted it throughout.

6. Cash flow

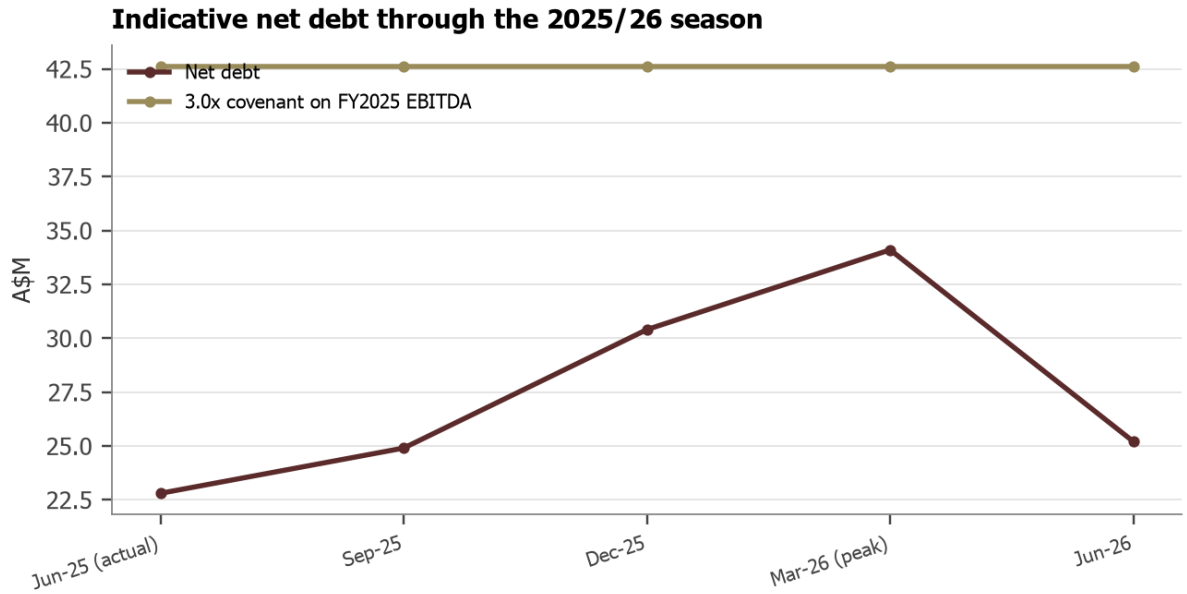
A$M, FY2025	Amount	Comment
EBITDA	14.2	
Movement in working capital	(1.1)	Receivables and inventory
Income tax paid	(1.9)	
Interest paid	(2.4)	Equals expense
Operating cash flow	8.8	
Capital expenditure	(6.3)	Maintenance and growth
Dividends to parent	(2.0)	Mallee Agri Holdings
Repayment of borrowings	(1.5)	
Lease principal repaid	(0.4)	
Net change in cash	(1.4)	
Cash at 1 July 2024	5.3	
Cash at 30 June 2025	**3.9**	**Agrees to balance sheet**

Summary cash flow statement, year ended 30 June 2025 (audited)

Operating cash flow after interest and tax of A$8.8M funded capex of A$6.3M and dividends of A$2.0M, leaving a surplus of A$0.5M that, together with scheduled repayments, reduced net debt from A$23.3M to A$22.8M. Cash conversion before tax and interest was 79% of EBITDA (A$11.2M) after a A$1.1M working capital outflow. Dividends were equal to 43% of net profit after tax. Dividend capacity under the new facility will need to be addressed in the distribution test.

7. Seasonality and working capital

Grain is received between November and January, and the Borrower pays growers and carries inventory until sale, so net debt builds through the December and March quarters. Management's forecast for the 2025/26 season is shown below. The profile has not been examined by us and is presented to illustrate the shape of the cycle. The June 2026 figure is higher than June 2025 because Tranche B funds capex of up to A$9.0M, which stays outstanding after seasonal inventory is sold.



Management forecast; peak net debt of A$34.1M equals 2.4x FY2025 EBITDA of A$14.2M.

The peak of A$34.1M exceeds the A$29.0M facility limit. Management attributes the difference of approximately A$5.1M to other borrowings and lease liabilities, net of cash, that remain outside the facility. The structure and ranking of that debt should be confirmed (section 11).

8. Notes to the financial information

The following notes summarise accounting policies and disclosures in the audited statements that are relevant to credit assessment.

Note 1: Revenue recognition

Receival and outturn fees are recognised when the service is performed. Storage fees are recognised over the storage period. Blending fees are recognised on completion of the blend. Grain trading revenue is recognised when control of the grain passes to the buyer. Revenue is recognised net of GST.

Note 2: Inventories

Grain held on the trading book is carried at the lower of cost and net realisable value. Inventory at 30 June 2025 was A$6.8M. Because the book is at its seasonal low at balance date, year end inventory understates the exposure to grain price and basis risk that exists at the March peak.

Note 3: Property, plant and equipment

Property, plant and equipment is stated at cost less accumulated depreciation. Silos, sheds and bunker infrastructure are depreciated on a straight line basis over up to 40 years, and plant and equipment over 5 to 20 years. Freehold land is not depreciated. No impairment was recognised in the three years reviewed.

Note 4: Borrowings and security

Borrowings of A$25.3M at 30 June 2025 are secured by mortgages over the freehold sites and a general security agreement. The treatment of these facilities on the introduction of the new facility is not documented in the material provided to us.

Note 5: Related parties

Related party transactions comprise dividends of A$2.0M paid to Mallee Agri Holdings Pty Ltd and remuneration of the directors who are also executives. We noted no loans to shareholders or directors at balance date.

Note 6: Contingencies and subsequent events

The audited statements disclose no material contingent liabilities. Management has advised that there have been no material events since 30 June 2025 other than the financing process and the commencement of the 2025/26 pre-season planning.

9. Quality of earnings

Reported FY2025 EBITDA of A$14.2M is the basis for all ratios in this report. We considered whether adjustments were appropriate for unrealised movements on grain contracts, one-off repair costs, and director related expenses. None of these items was large enough, individually or in aggregate, to alter EBITDA by more than rounding, and we have made no adjustments.

Two features of earnings quality are important for lenders. First, 52% of revenue but a larger share of operating profit comes from fees linked to volume, which in turn depends on seasonal conditions. Second, the grain trading margin is thin, so reported EBITDA is sensitive to a small number of positions. A moderate adverse price outcome on the trading book would be material relative to the A$3.6M gross trading margin.

10. Leverage, coverage and covenant analysis

Metric	FY2025	Basis
Net debt (A$M)	22.8	30 June 2025
Net debt / EBITDA	1.6x	22.8 / 14.2
EBITDA / interest	5.9x	14.2 / 2.4
Peak net debt (A$M)	34.1	Mar-26 forecast
Peak net debt / EBITDA	2.4x	34.1 / 14.2
Covenant maximum	3.0x	Proposed
LVR on A$29.0M limit	42.3%	29.0 / 68.5

Key credit metrics

The table below tests peak leverage against lower EBITDA, holding peak net debt at A$34.1M.

EBITDA (A$M)	Change vs FY2025	Peak leverage
14.2	Nil	2.4x
13.0	(8.5%)	2.6x
12.0	(15.5%)	2.8x
11.4	(19.9%)	3.0x
10.9	(23.2%)	3.1x

Sensitivity of peak leverage to EBITDA

The last row corresponds to FY2024 actual EBITDA. A repeat of FY2024 conditions would therefore breach a 3.0x covenant at the peak unless borrowings were lower or equity support were provided. Lenders may wish to consider a seasonally adjusted leverage test, a covenant tested on the 30 June and 31 December dates only, or an equity cure right.

On pricing, the indicative margin of 4.25% over 3 month BBSW applies to drawn amounts. Each 1.00% movement in BBSW on A$29.0M fully drawn changes annual interest by about A$0.29M, or 2.0% of FY2025 EBITDA. The 1.50% establishment fee equates to A$0.44M, and the 0.90% commitment fee applies to undrawn amounts.

10.1 Security cross-check

Corrigan Whitlock Valuers Pty Ltd assessed the as is market value of the six freehold sites at A$68.5M as at 22 August 2025. Peak drawings of A$29.0M against that value give an LVR of 42.3%. The new capacity of about 60,000 tonnes from the bunker expansion at Pinnaroo and Lameroo, the Karoonda rail outload upgrade and the automated weighbridge and sampling systems would lift storage capacity to about 700,000 tonnes. We have not reviewed the valuer's assumptions or the quantity surveyor's cost plan, which are the subject of separate reports.

11. Key risks and open items

11.1 Risks identified from the financial analysis

- Seasonal and weather risk: a drought or frost year in the Mallee would materially reduce receivals and fee income, and can weaken grower liquidity. FY2024 shows that EBITDA fell by 28% from FY2023 when receivals fell by 24%.
- Grain price and trading risk: inventory held on the trading book is exposed to price movements and basis risk between harvest and sale.
- Working capital concentration: peak drawings in the March quarter lift leverage to about 2.4x, leaving limited headroom against a 3.0x covenant if EBITDA falls.

- Competition: larger bulk handlers and growth in on-farm storage may erode market share, particularly at the Mallee sites.
- Capex execution: bunker and rail works must be completed before the 2026/27 harvest, and cost or timing overruns could delay incremental capacity.
- Key person and governance: customer and operational relationships rely heavily on the Managing Director and a small senior team.

11.2 Information requests and open items

- Sources and uses of funds showing how the existing borrowings of A$25.3M and lease liabilities of A$1.4M will be treated on drawdown.
- Management accounts for the September 2025 quarter, due 17 October 2025, to confirm early season trading against the forecast.
- Monthly net debt and inventory history for the last two seasons, to confirm that the March quarter peak is consistent with the A$34.1M forecast.
- Grain trading policy, including position limits, hedging practice and counterparty exposure.
- Dividend policy and intended distributions to Mallee Agri Holdings Pty Ltd during the facility term.
- Confirmation of the Pinnaroo and Lameroo bunker and Karoonda rail construction timetable against the 2026/27 harvest.

12. Limitations

This report has been prepared solely for Quillwood Credit Partners in connection with its assessment of the proposed facility to Murray Grains Pty Ltd. It is based on information provided by the Borrower and its advisers, including Banksia Corporate Advisory Pty Ltd and Lindqvist Reece Lawyers, and on the audited financial statements. We have not independently verified that information beyond the procedures described in section 2. Forecasts are the responsibility of management. This report should not be relied on by any other party, and Thornbury Accounting Advisory accepts no liability to any third party.

13. Sign-off

Prepared by	Daniel Osei, Senior Manager, Thornbury Accounting Advisory
Reviewed and approved by	Helen Kavanagh, Partner, Thornbury Accounting Advisory
Date	26 September 2025
Status	Version 1.0 Final, issued to Quillwood Credit Partners

Report sign-off